

NEITHER THIS NOTE NOR THE SECURITIES INTO WHICH THE OUTSTANDING BALANCE HEREOF MAY BE CONVERTED HAVE BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED (THE “*SECURITIES ACT*”), OR ANY APPLICABLE STATE SECURITIES LAWS. BY ITS ACCEPTANCE HEREOF, HOLDER AGREES THAT THIS NOTE HAS BEEN ACQUIRED FOR INVESTMENT PURPOSES ONLY AND NOT WITH A VIEW TO OR FOR RESALE IN CONNECTION WITH THE DISTRIBUTION THEREOF. NO DISPOSITION OF THIS NOTE OR THE SECURITIES INTO WHICH THE OUTSTANDING BALANCE HEREOF MAY BE CONVERTED MAY BE MADE IN THE ABSENCE OF (1) AN EFFECTIVE REGISTRATION STATEMENT UNDER THE SECURITIES ACT OR (2) AN OPINION OF COUNSEL ACCEPTABLE TO MAKER THAT SUCH DISPOSITION WITHOUT REGISTRATION DOES NOT VIOLATE THE REQUIREMENTS OF THE SECURITIES ACT OR ANY APPLICABLE STATE SECURITIES LAWS, OR ANY OTHER APPLICABLE LAWS, RULES OR REGULATIONS.

CONVERTIBLE PROMISSORY NOTE

\$500,000.00

August 30, 2024

FOR VALUE RECEIVED, HealthRate, Inc., a Nevada corporation (“*Maker*”), hereby promises to pay to First Trust Capital Partners, LLC, an Illinois limited liability company (“*Holder*”) the principal sum of Five Hundred Thousand and No/100 Dollars (\$500,000.00), plus interest accruing thereon in the manner provided in this Convertible Promissory Note (this “*Note*”). This Note is one of the “*Notes*” issued pursuant to that certain Convertible Note Purchase Agreement dated as of the date hereof by and among the Maker, the Holder and such other Investor parties identified therein (the “*Purchase Agreement*”).

Section 1 Loan Amount. Holder is lending to Maker Five Hundred Thousand and No/100 Dollars (\$500,000.00) on the date hereof (the “*Effective Date*”).

Section 2 Payments.

(a) Principal. Subject to the terms and conditions of this Note, the outstanding principal balance of this Note, and all accrued but unpaid interest thereon, shall be due and payable on August 30, 2026 (the “*Maturity Date*”).

(b) Manner of Payment. Subject to **Section 3** below, all payments of principal and interest on this Note shall be made in lawful money of the United States of America at such place as Holder may from time to time designate in writing to Maker.

(c) No Prepayment. Subject to **Section 3** below, Maker may not prepay any amount due under this Note prior to the Maturity Date.

(d) Interest. Interest will accrue on the outstanding principal balance of this Note from the Effective Date until the date on which the outstanding principal balance of this Note, and all accrued but unpaid interest thereon, shall be paid in full, at the rate of ten percent (10%) per annum, compounded annually, calculated on the basis of a 365-day year. Subject to **Section 3** below, no accrued interest shall become due and payable under this Note until the Maturity Date.

(e) Most Favored Nations. If, while this Note is outstanding, Maker issues other indebtedness of Maker convertible into equity securities of Maker, or amends any existing indebtedness convertible into equity securities of Maker (the “*Other Debt*”), then Maker will provide Holder with written notice thereof, together with a copy of all documentation relating to the Other Debt and, upon

request of Holder, any additional information related to the Other Debt as may be reasonably requested by Holder. Maker will provide such written notice to Holder promptly (and in any event within thirty (30) days) following the issuance of the Other Debt. In the event Holder determines that the terms, rights, powers or privileges of the Other Debt are in the aggregate more favorable than the terms, rights, powers or privileges set forth in this Note, Holder will notify Maker in writing within fifteen (15) days following Holder's receipt of such written notice from Maker. Promptly after receipt of such written notice from Holder, but in any event within fifteen (15) days, Maker will amend and restate this Note to be substantially identical to the promissory note evidencing the Other Debt, provided that the principal amount of the amended and restated note shall take into account the existing principal amount of this Note plus any unpaid interest that has accrued up until the date of such amendment and restatement.

Section 3 Conversion.

(a) Optional Conversion. Maker shall notify Holder in writing of the substantive terms of a Qualified Financing (defined herein) as soon as materially finalized ("**QF Notice**"). Within ten (10) days after receiving a QF Notice ("**Opt-Out Period**"), Holder shall be entitled to opt-out of a conversion pursuant to this **Section 3** by sending Maker written notice of Holder's intention to opt-out ("**Opt-Out Notice**"). In the event, Holder sends an Opt-Out Notice prior to the expiration of the Opt-Out Period, the entire unpaid balance of this Note, including any accrued and unpaid interest, shall remain due and payable in full on the Maturity Date. In the event Holder fails to send an Opt-Out Notice prior to the expiration of the Opt-Out Period, then, upon the initial closing of such Qualified Financing (the "**Conversion Date**"), the entire unpaid balance of this Note, including any accrued and unpaid interest, shall automatically, and without any action by Maker, Holder, or any other party, convert into Preferred Stock (defined herein) at the Conversion Price (as defined below). For purposes of clarity, no partial conversion pursuant to this **Section 3** shall be allowed.

(b) Conversion Price. The unpaid principal of this Note, together with the accrued and unpaid interest under this Note, as of the Conversion Date shall convert into Preferred Stock at the Conversion Price.

(c) Mechanics and Effect of Conversion. Upon the conversion of this Note as provided above: (i) Holder shall surrender this Note at the principal office of Maker (or at such other location designated by notice given by Maker to Holder); and (ii) Holder shall enter into and be bound by each agreement and other instrument by which the investor in the Qualified Financing is required to be bound (unless otherwise agreed by Maker), other than any non-competition agreement or other similar agreement which restricts or prohibits Holder's business activities except any restrictions imposed on the transfer of Shares (as defined below) (by way of example, Holder shall agree to drag-along and tag-along restrictions agreed to by other investors in the Qualified Financing); (iii) Holder shall otherwise provide all cooperation reasonably requested by Maker in consummating the Qualified Financing; and (iv) subject to the satisfaction of the foregoing subsections (i) – (iii), Holder shall be entitled to all of the same rights and privileges related to the Preferred Stock, including any type of dividend/coupon, as the investors of the underlying Qualified Financing (causing the conversion), other than with respect to (A) the per share liquidation preference and the initial conversion price for purposes of price-based anti-dilution protection, which will equal the Conversion Price; and (B) the basis for any dividend rights, which will be based on the Conversion Price. Upon conversion of this Note, Maker will be forever released from all of its obligations and liabilities under this Note, including, without limitation, any obligation to pay the unpaid principal amount and any accrued but unpaid interest under this Note.

(d) Liquidity Event; Option to Convert; Option to Accelerate. If a Liquidity Event (as hereinafter defined) occurs before the payment or conversion of the outstanding balance under this Note

and prior to the Maturity Date, Holder shall be entitled, at Holder's option, to elect to (i) convert the entire unpaid balance of this Note immediately prior to the Liquidity Event into the most senior securities of Maker then issued and outstanding at a price per share equal to Seven Million and No/100 (\$7,000,000.00) divided by the aggregate number of outstanding equity securities of Maker immediately prior to the Liquidity Event calculated based on the Fully Diluted Capitalization of Maker, or (ii) contemporaneously with the consummation of the Liquidity Event, be repaid upon the closing of such Liquidity Event the greater of (A) the principal amount then outstanding hereunder plus accrued but unpaid interest then outstanding hereunder plus an amount equal to 50% of the principal amount then outstanding hereunder or (B) the value that Holder would receive if the principal amount then outstanding hereunder plus accrued but unpaid interest then outstanding hereunder were to be deemed converted pursuant to this **Section 3** into the most senior securities of Maker then issued and outstanding at a price per share equal to Seven Million and No/100 (\$7,000,000.00) divided by the aggregate number of outstanding equity securities of Maker immediately prior to the Liquidity Event calculated based on the Fully Diluted Capitalization of Maker. At least ten (10) days prior to the closing of a Liquidity Event, Maker will notify Holder in writing of the terms of the Liquidity Event. Any election by Holder pursuant to this **Section 3(d)** shall be delivered in writing to Maker at least three (3) days prior to the closing of such Liquidity Event.

(e) **Definitions.** For purposes of this Note, the following terms shall have the meanings set forth below:

- (i) **"Common Stock"** means shares of common stock in Maker.
- (ii) **"Conversion Price"** shall be equal to a price per Share equal to the lesser of:
 - (A) Eighty percent (80%) *times* the price per Preferred Stock sold and issued in the Qualified Financing; or
 - (B) Seven Million and No/100 (\$7,000,000.00) *divided* by the Fully Diluted Capitalization of Maker as of the Conversion Date (immediately prior to giving effect to such Qualified Financing).
- (iii) **"Fully Diluted Capitalization"** means, as of immediately prior to the conversion of this Note or any Liquidity Event or such other event requiring the calculation thereof (as applicable), the aggregate number of equity securities of Maker, calculated on a fully diluted basis assuming full conversion or exercise of all convertible and exercisable securities then outstanding other than (i) this Note, (ii) any other convertible promissory notes of Maker, (iii) any options to purchase equity securities of Maker whose exercise price is higher than the fair market value of such equity securities as of the time of the Qualified Financing, (iv) any SAFEs issued by Maker, and (v) any securities issuable upon conversion of any outstanding convertible promissory notes or SAFEs. Furthermore, for any conversion, the definition of "Fully Diluted Capitalization" shall also exclude (x) any securities issued in the Qualified Financing, (y) any securities of Maker directly or indirectly issuable upon conversion, exchange or exercise of such securities and (z) any increase in the number of equity securities reserved for issuance under Maker's equity incentive or similar plans or arrangements in connection with the financing.
- (iv) **"Liquidity Event"** shall mean (A) any consolidation or merger of Maker with or into any other corporation or other entity or person, or any other corporate reorganization, other than any such consolidation, merger or reorganization in which the stockholders of Maker immediately prior to such consolidation, merger or

reorganization, continue to hold at least a majority of the voting power of the surviving entity in substantially the same proportions (or, if the surviving entity is a wholly owned subsidiary, its parent) immediately after such consolidation, merger or reorganization; (B) any transaction or series of related transactions to which Maker is a party and in which in excess of fifty percent (50%) of Maker's voting power is transferred to an unrelated third party or parties in such transaction or related transactions; *provided, however*, that a Liquidity Event shall not include any transaction or series of transactions principally for bona fide equity financing purposes in which cash is received by Maker or any successor or indebtedness of Maker is cancelled or converted or a combination thereof; or (C) a sale, lease, exclusive license or other disposition of all or substantially all of the assets of Maker in any transaction or series of related transactions.

- (v) “**Preferred Stock**” means the securities of Maker issued to the investors in the Qualified Financing.
- (vi) “**Qualified Financing**” means Maker shall have received an equity or equity-like investment or series of related investments of at least Three Million and No/100 Dollars (\$3,000,000.00), in the aggregate, after the Effective Date.
- (vii) “**Shares**” means Preferred Stock and Common Stock.

Section 4 No Rights as an Owner. Unless and until Shares are issued to Holder pursuant to **Section 3** hereof, Holder shall not be entitled to any additional rights as an owner of Maker, including, without limitation, the right to vote, to receive dividends, or to exercise any preemptive rights.

Section 5 Representations and Warranties. The representations and warranties of each of the Holder and the Maker, respectively, are hereby incorporated into and made a part of this Note.

Section 6 Default and Remedies. The occurrence of any of the following shall be a “**Default**”: (a) Maker fails to pay timely any of the principal amount due under this Note on the date the same becomes due and payable or any accrued interest or other amounts due under this Note on the date the same becomes due and payable; (b) Maker fails to perform or cause to be performed any other obligation or observe any other condition, covenant, term, agreement or provision required to be performed or observed by Maker under this Note; *provided, however*, that if such failure by its nature can be cured, then Maker shall have a period of thirty (30) days after Maker receives written notice of such failure (the “**Cure Period**”) to cure the same and Default shall not be deemed to exist during the Cure Period; *further, provided*, that if Maker commences to cure such failure during the Cure Period and is diligently and in good faith attempting to effect such cure, the Cure Period shall be extended for thirty (30) additional days, but in no event shall the Cure Period be longer than sixty (60) days in the aggregate; (c) Maker files any petition or action for relief under any bankruptcy, reorganization, insolvency or moratorium law or any other law for the relief of, or relating to, debtors, now or hereafter in effect, or makes any assignment for the benefit of creditors or takes any action in furtherance of any of the foregoing; or (d) an involuntary petition is filed against Maker (unless such petition is dismissed or discharged within sixty (60) days) under any bankruptcy statute now or hereafter in effect, or a custodian, receiver, trustee, assignee for the benefit of creditors (or other similar official) is appointed to take possession, custody or control of any property of the Maker. Upon the occurrence of any Default, Holder may declare the entire unpaid balance of this Note and all other liabilities of Maker to Holder to be immediately due and payable. Notwithstanding anything to the contrary herein, during any period in which a Default has occurred and is continuing, the Maker shall pay interest on the unpaid principal balance of this Note at the rate of

eighteen percent (18%) per annum.

Section 7 Miscellaneous.

(a) Pari Passu Notes. Holder acknowledges and agrees that the payment of all or any portion of the outstanding principal amount of this Note and all interest hereon shall be pari passu in right of payment and in all other respects to any other Notes issued pursuant to the Purchase Agreement. If Holder receives payments in excess of its pro rata share of the Maker's payments to the holders of all of the Notes, then Holder shall hold in trust all such excess payments for the benefit of the holders of the other Notes and shall pay such amounts held in trust to such other holders upon demand by such holders.

(b) Waiver. The rights and remedies of Holder under this Note shall be cumulative and not alternative. No waiver by Holder of any right or remedy under this Note shall be effective unless in writing signed by Holder. Neither the failure nor any delay in exercising any right, power or privilege under this Note will operate as a waiver of such right, power or privilege and no single or partial exercise of any such right, power or privilege by Holder will preclude any other or further exercise of such right, power or privilege or the exercise of any other right, power or privilege.

(c) Notices. Any notice required or permitted by this Note shall be in writing and shall be deemed sufficient upon delivery, when delivered personally or by a nationally-recognized delivery service (such as Federal Express or UPS), or three (3) days after being deposited in the U.S. mail, as certified or registered mail, with postage prepaid, addressed to the party to be notified at such party's address as set forth on the signature page or as subsequently modified by written notice.

(d) Severability. If any provision in this Note is held invalid or unenforceable by any court of competent jurisdiction, the other provisions of this Note will remain in full force and effect. Any provision of this Note held invalid or unenforceable only in part or degree will remain in full force and effect to the extent not held invalid or unenforceable.

(e) Governing Law; Venue. This Note will be governed by the laws of the State of Delaware without regard to conflicts of laws principles that would result in the application of the laws of any other state. For the purposes of litigating any dispute that may arise directly or indirectly from this Note, the parties hereto hereby submit and consent to litigation in the exclusive jurisdiction of the State of Illinois and agree that any such litigation shall be conducted only in the courts of Chicago, Illinois and no other courts. The parties hereto shall not contest the jurisdiction of any such court or argue that venue is not proper therein, by reason of *forum non conveniens* or otherwise.

(f) Successors and Assigns. The terms and conditions of this Note shall inure to the benefit of and be binding upon the respective successors and permitted assigns of the parties.

(g) Transfer by Holder. Neither Holder nor Maker may transfer or assign, by operation of law or otherwise, this Note or any of its rights or obligations under this Note to any individual or entity except after having obtained the other's prior written consent or, if Holder is an individual, by will or pursuant to the laws of descent and distribution.

(h) Attorneys' Fees. If any action at law or in equity is necessary to enforce or interpret the terms of this Note, Holder will be entitled to reasonable attorneys' fees, costs and necessary disbursements in addition to any other relief to which Holder may be entitled.

(i) Counterparts. This Note may be executed in any number of counterparts and by different

parties on separate counterparts, each of which, when executed and delivered, shall be deemed to be an original, and all of which, when taken together, shall constitute but one and the same Note.

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IN WITNESS WHEREOF, each of Maker and Holder has executed and delivered this Note as of the Effective Date.

MAKER:

HealthRate, Inc.

By: Tim Michaels
Tim Michaels, Chief Executive
Officer

Address: 734 Oriole Lane
Hudson, WI 54016
Attention: Tim Michaels
Email: tim@healthrate.io

HOLDER:

First Trust Capital Partners, LLC

By: [Signature]
James A. Bowen, Chairman

Address: 120 East Liberty Drive, Suite 400
Wheaton, IL 60187
Attention: Jonathan Phillips
Email: jonphillips@ftcapitalpartners.com